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FEDERAL MARITIME COMMISSION

Petition of Olympus Growth Fund III, L.P. and
Olympus Executive Fund, L.P. for Declaratory
Order, Rulemaking, or Other Relief

Docket No. 08-07

REPLY OF THE BUREAU OF ENFORCEMENT

Pursuant to Rule 68 of the Federal Maritime Commission's ("Commission") Rules of Practice and Procedure, 46 C.F.R. § 502.68, the Bureau of Enforcement ("BOE") hereby submits its reply to the Petition filed by Olympus Growth Fund III, L.P. and Olympus Executive Fund, L.P. [hereinafter referred to collectively as "Olympus" or "Petitioners"].

I. INTRODUCTION.

Until approximately June 2006, Olympus owned Global Link Logistics, Inc. ("Global Link"), a licensed ocean transportation intermediary / non-vessel-operating common carrier ("OTI/NVOCC") located in Tucker, Georgia. Olympus subsequently sold its interest in Global Link to Golden Gate, L.L.C. ("Golden Gate"). Shortly following the purchase of the company, the new owners appear to have discovered a practice known by Global Link employees as "split deliveries". Reply of Global Link at 2. The essence of this practice appears to have centered on the booking of inbound shipments with ocean common carriers to certain inland destination points in the United States while the actual delivery of the cargo would take place at alternate, higher-rated, destination points without any awareness on the part of the carriers. *Id.* To be successful, the practice required

the creation of dual sets of documents by Global Link, one set with the false destination points for the ocean common carriers and the other set with the actual destination points for the motor carriers. *Id.* This practice appears to have lasted for an extended period of time and involved the movement of a significant amount of cargo via through bills of lading issued by the ocean common carriers. *Id.* Once Global Link's new owners became aware of this activity, they claim to have terminated same on the basis that it violated certain provisions of the Shipping Act of 1984 ("1984 Act"). *Id.* The new owners subsequently commenced an action in arbitration against the previous owners, including Olympus, on the basis of allegations of misrepresentation that Global Link had been operated in a manner that was fully compliant with all applicable laws and regulations. *Id.* at 3; Petition at 2.

BOE currently has a pending investigation regarding Global Link and has been collecting documents and information in an effort to fully ascertain the extent of the potential violations of section 10(a)(1) of the 1984 Act, 46 U.S.C. § 41102(a). Over the course of the last several months, discussions regarding these issues have taken place between BOE and counsel for Global Link. Counsel for Petitioners has likewise had several discussions with BOE regarding the alleged "split delivery" practice. Apparently dissatisfied with BOE's evaluation of the issues, Petitioners are now attempting to invoke the Commission's formal processes to impede possible resolution of alleged violations pursuant to the informal procedures provided for by the Commission's regulations at 46 C.F.R. § 502.604. BOE, therefore, respectfully requests that the Commission deny Olympus' petition in its entirety.

II. DISCUSSION.

A. Olympus' request for Declaratory Order and/or Rulemaking is untimely and inappropriate.

1. Petition does not meet the standards for a declaratory order

Rule 68 of the Commission's Rules of Practice and Procedure, 46 C.F.R. § 502.68, states in relevant part as follows,

(b) Petitions under this section shall be limited to matters involving conduct or activity regulated by the Commission under the statutes administered by the Commission. The procedures of this section shall be invoked solely for the purpose of obtaining declaratory rulings which will allow persons to act without peril upon their own view.

46 C.F.R. § 502.68(b).

Moreover, "this Rule is intended to provide guidance to persons who have not yet acted and who desire a legal ruling on a proposed, future course of action." *Petition of Evergreen Marine Corp. (Taiwan), Ltd. & Worldwide Logistics, Inc. for Declaratory Order*, 26 S.R.R. 605, 607 (FMC 1992).

In this instance, the activity forming the basis of the Petitioners' request for a declaratory order has already occurred and no longer appears to be a future course of action. The Commission has previously expressed reluctance to engage in a proceeding for a declaratory order if "it involves past and present conduct which may entail violations of the Shipping Acts." *Petition of South Carolina State Ports Authority for Declaratory Order*, 27 S.R.R. 175, 181 (FMC 1995).

Moreover, Petitioners lack status either to act or to have a future course of action with regard to any aspect of ocean transportation regulated by the Commission inasmuch as Petitioners are not registered with the Commission in any capacity as ocean transportation entities. For example, according to its website, Petitioner Olympus Growth Fund III, L.P. claims to be managed by

Olympus Partners which, in turn, refers to itself as a “private equity firm.”¹ Thus, the Petitioners appear to be requesting relief from the Commission in an industry where they are not active participants and are not, consequently, in a position to benefit from that relief, if it should be granted.

Finally, occasional re-routing of cargo to an alternate inland destination point by reason of necessity, absent any evidence of fraud or wrongdoing, is not an issue requiring a declaratory ruling from the Commission. There are proper, lawful methods for re-routing cargo which are governed by the individual carrier’s tariff rules. For example, once cargo is in transit and a sudden necessity arises to transfer its destination to another inland location, the shipper would contact the carrier, request the re-routing, and pay the fees and rates applicable to the new destination (as dictated by the transporting carrier’s tariff and/or service contract). In the case of Global Link, the significant distinction lies in the fact that the re-routing was pre-arranged prior to any actual movement of the cargo. Dual sets of documents were created by Global Link in an effort to obtain a lower rate and, therefore, avoid the proper payment of the applicable tariff/service contract rates to the carriers.

2. Petitioners fail to satisfy the procedural requirements for a rulemaking

As an alternative, in the event that the Commission declines to issue a declaratory order, the Petitioners request that the Commission initiate a rulemaking proceeding pursuant to Rule 51 of the Commission’s Rules of Practice and Procedure which states, in pertinent part, that “the petition shall set forth the interest of petitioner and the nature of the relief desired, shall include any facts, views, arguments, and data deemed relevant by petitioner, and shall be verified.” 46 C.F.R. § 502.51. In their submission, other than arguing that BOE’s compromise discussions with Global Link somehow threaten to alter the meaning of the 1984 Act, the Petitioners fail to provide any facts, data, and

¹ *Olympus Partners News* (visited Jan. 8, 2009) <<http://www.olympuspartners.com/news-h.html>>.

verification to justify their need for a rulemaking. Moreover, the Petitioners fail to articulate the type of rule that the Commission should issue, amend, or repeal. Because of these procedural deficiencies, the Petitioners' request for a rulemaking should be denied.

B. The Commission is vested with jurisdiction to regulate through transportation.

Petitioners are challenging the Commission's jurisdiction to regulate the aforementioned "split delivery" practice on the basis that section 10(a)(1) of the 1984 Act, 46 U.S.C. § 41102(a) refers to "ocean transportation for property" which does not, therefore, include the in-land portion of through transportation.² Petitioners' extremely narrow reading of section 10(a)(1) as applicable solely to port-to-port transportation must be rejected inasmuch as it is contrary to the legislative intent and regulatory purpose of the 1984 Act.

The enactment of the 1984 Act included the "recognition of the intermodal movement of cargo as a common form of *ocean* transportation service." 98 CONG. REC. H6903 (daily ed. Sept. 13, 1982) (statement of Rep. Biaggi) (emphasis added). Moreover, the definitions for such terms as "through rate" and "through transportation" were included "in recognition of the need to permit employment of modern intermodalism concepts and practices in our foreign trade." H.R. REP. NO. 98-53, pt. 1, at 29 (1982). As for section 10 of the 1984 Act, its intent is to prohibit "conduct that is considered harmful to the international ocean commerce transportation system of the United States." *Id.* at 35. Taking all of these principles together, the logical reading of the use of the phrase

² Section 10(a)(1) of the 1984 Act, 46 U.S.C. § 41102(a) provides as follows, "No person may knowingly and willfully, directly or indirectly, by means of false billing, false classification, false weighing, false report of weight, false measurement, or by any other unjust or unfair device or means obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise be applicable."

“ocean transportation” within section 10(a)(1) must be one that bestows jurisdiction upon the Commission to regulate both port-to-port and through transportation. The terms “ocean transportation” or “ocean commerce” were likewise included in other parts of the 1984 Act³ all the while Congress recognized the need to incorporate intermodalism within the Act’s regulatory framework.

Furthermore, the Commission’s jurisdiction with respect to through transportation is reflected in other provisions of the 1984 Act such as its definition of “common carrier”, as well as its tariff publishing requirements. According to section 3(6) of the 1984 Act, 46 U.S.C. § 40102(6), a common carrier is “a person holding itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation that . . . assumes responsibility for the transportation from the port or *point of receipt* to the port or *point of destination*. . . .” (Emphasis added). Recognizing its jurisdiction as one that extends beyond ports to include inland points, the Commission has a history of tracking the language of the aforementioned section by repeatedly referencing “ports and points” in its Fact Finding Investigation Orders. See, e.g., *Possible Malpractices in the Trans-Atlantic Trades*, 24 S.R.R. 41 (FMC 1987); *Rebates and Other Malpractices in the Trans-Pacific Trades*, 25 S.R.R. 55 (FMC 1989); and *Possible Rate Malpractices in Specified United States - Foreign Trades*, 26 S.R.R. 1454 (FMC 1994).⁴

³ Listing the purposes of the 1984 Act, Section 2 uses such phrases as “carriage of goods by water”, “ocean commerce of the United States”, and “competitive and efficient ocean transportation”. 46 U.S.C. § 40101.

⁴ See also *Application of Pacific Westbound Conference and Mitsui O.S.K. Lines, Ltd. for the Benefit of Mitsubishi Int’l Corp.*, 22 S.R.R. 1290, 1296 (ALJ 1984) (“It would appear that the general provisions of the 1984 Act which give jurisdiction over ‘through transportation’ between both United

Section 8(a) of the 1984 Act, 46 U.S.C. § 40501(a), requires each common carrier to “keep open for public inspection in an automated tariff system, tariffs showing all its rates, charges, classifications, rules, and practices between all *points* or ports on its own route and on *any through transportation route* that has been established.” (Emphasis added). Because the Commission is vested with jurisdiction to regulate and enforce the publication of through rates in common carrier tariffs, then surely it is likewise vested with jurisdiction to regulate and enforce the applicability of those rates should violations of section 10 of the 1984 Act become apparent.

C. Petitioners’ attempt to transform BOE’s investigation is unjustified and inappropriate.

As alternative relief to a declaratory order or a rulemaking, Petitioners are requesting that the Commission transform BOE’s investigation of and informal discussions with Global Link into a formal docketed proceeding and thereafter permit Petitioners the opportunity to intervene in the proceeding. According to the Petitioners, their basis for intervention is their previous ownership status with respect to Global Link, as well as their interest in the proceeding’s outcome and its effect on the ongoing arbitration between Petitioners and the new owners of Global Link. Petition at 7. For the reasons outlined below, BOE respectfully requests that the Commission deny the Petitioners’ requests.

States and foreign ‘points and ports’ have removed any doubt about the extent of the Commission’s jurisdiction. Clearly, the Commission now has jurisdiction over transportation from ‘port or point of receipt’ to ‘port or point of destination’ if the ‘common carrier’ ‘utilizes’ a ‘vessel operating on the high seas’ for ‘all or part of that transportation; and if the common carrier ‘assumes responsibility’ for transportation between those ports or points.”)

1. Compromise Process

Procedures for informal compromises of civil penalties are dictated by Subpart W of the Commission's Rules of Practice and Procedure. Specifically, Rule 604(b) provides as follows, "When the Commission considers it appropriate to afford an opportunity for the compromise of a civil penalty, it will, except when otherwise authorized by the Commission, or where circumstances render it unnecessary, send a Notice and Demand Letter ('NDL') to the respondent" 46 C.F.R. § 502.604(b). Upon receiving a NDL, the Respondent "may, within the time specified, deny the violation or submit matters explaining, mitigating or showing extenuating circumstances, as well as make voluntary disclosures of information and documents." 46 C.F.R. § 502.604(c). The Director of BOE is vested with delegated authority to negotiate and conclude informal compromises on behalf of the Commission. 46 C.F.R. § 502.604(g).

As previously discussed, BOE currently has a pending investigation involving Global Link and its alleged violations of section 10(a)(1) of the 1984 Act, 46 U.S.C. § 41102(a). BOE acknowledges having had discussions with counsel for Global Link regarding these violations, as well as possible resolutions to this matter. However, it is important to note that a NDL to Global Link is not pending at this time⁵ and a compromise agreement has not been executed with Global Link regarding any of the violations currently under investigation.

2. Compromise agreements are not legal precedent

If a compromise agreement is executed to resolve an informal penalty matter, its terms are binding upon the signatories. Compromise agreements do not constitute legal precedent. The Commission recently noted that "settlements are not precedent-setting determinations"

⁵ Compromise discussions were initiated without the necessity for a NDL.

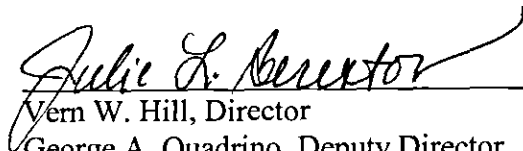
Exclusive Tug Franchises – Marine Terminal Operators Serving the Lower Mississippi River, 30 S.R.R. 651, 653 n.1 (FMC 2005). Appendix A to Subpart W of the Commission’s Rules of Practice and Procedure provides an example of a compromise agreement which contains a specific provision that the agreement “is not, and is not to be construed as, an admission by Respondent to the alleged violations” Most compromise agreements include this provision of “no admission” which translates into the absence of a finding of violation by the Commission. Consequently, a compromise agreement between the Commission and Global Link would resolve the dispute with respect to the alleged violations but would not constitute Commission legal precedent for future activities. For these reasons, the compromise process is sufficient and appropriate for dealing with the issues involving Global Link without the need for litigation through an adjudicatory proceeding which would be expensive and time-consuming for all the parties involved, including the Commission.⁶

⁶ It has been long-standing Commission policy to encourage informal resolutions of cases by way of compromises and settlements. *See Old Ben Coal Co v. Sea-Land Service, Inc.*, 18 S.R.R. 1085, 1091 (ALJ 1978) (“It is well-settled that the law and Commission policy encourage settlements and engage in every presumption which favors a finding that they are fair, correct, and valid.”); *Banfi Products Corp., et al. – Possible Violations of Section 16, Initial Paragraph, Shipping Act, 1916 and Section 10(a)(1) of the Shipping Act of 1984*, 26 S.R.R. 1101 (ALJ 1993) (“It is the policy of the Commission and of the courts to encourage and to approve reasonable settlements.”); and *Topocean Consolidation Service Ltd., et al. – Possible Violations of Sections 8, 23(a) and 10(a)(1) of the Shipping Act of 1984*, 28 S.R.R. 8, 9 (ALJ 1997) (“The Commission . . . has long recognized that the law strongly favors settlements”)

III. CONCLUSION.

For all the foregoing reasons, BOE respectfully requests that the Commission deny Olympus' Petition in its entirety.

Respectfully submitted,

A handwritten signature in cursive script, reading "Julie L. Berestov", is written over a horizontal line.

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January 9, 2009

CERTIFICATE OF SERVICE

I hereby certify that a copy of the foregoing document has been served on this date by Federal Express, upon the parties of record.

Signed in Washington, D.C. on January 9, 2009.


Julie L. Berestov